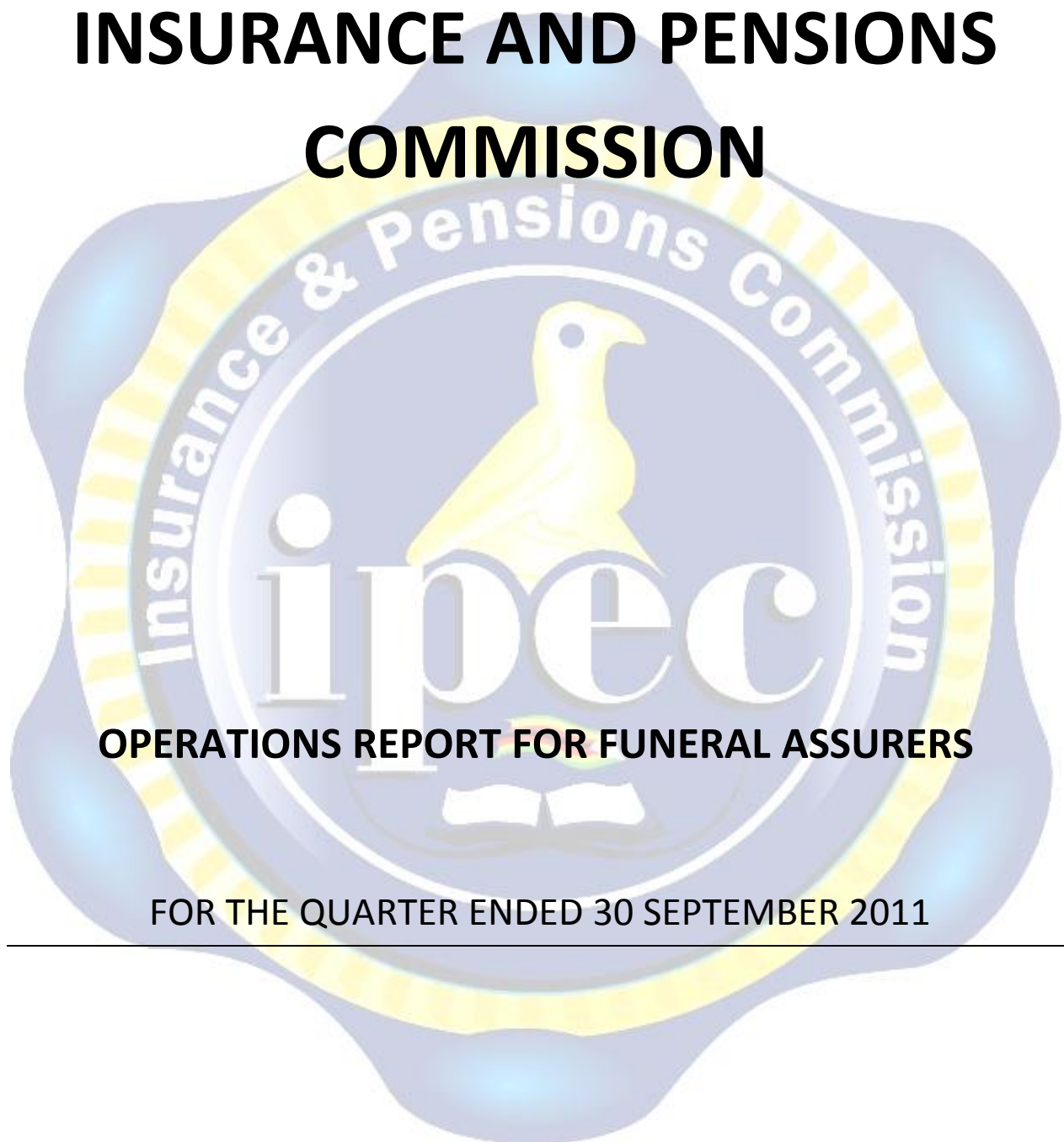


INSURANCE AND PENSIONS COMMISSION



OPERATIONS REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2011

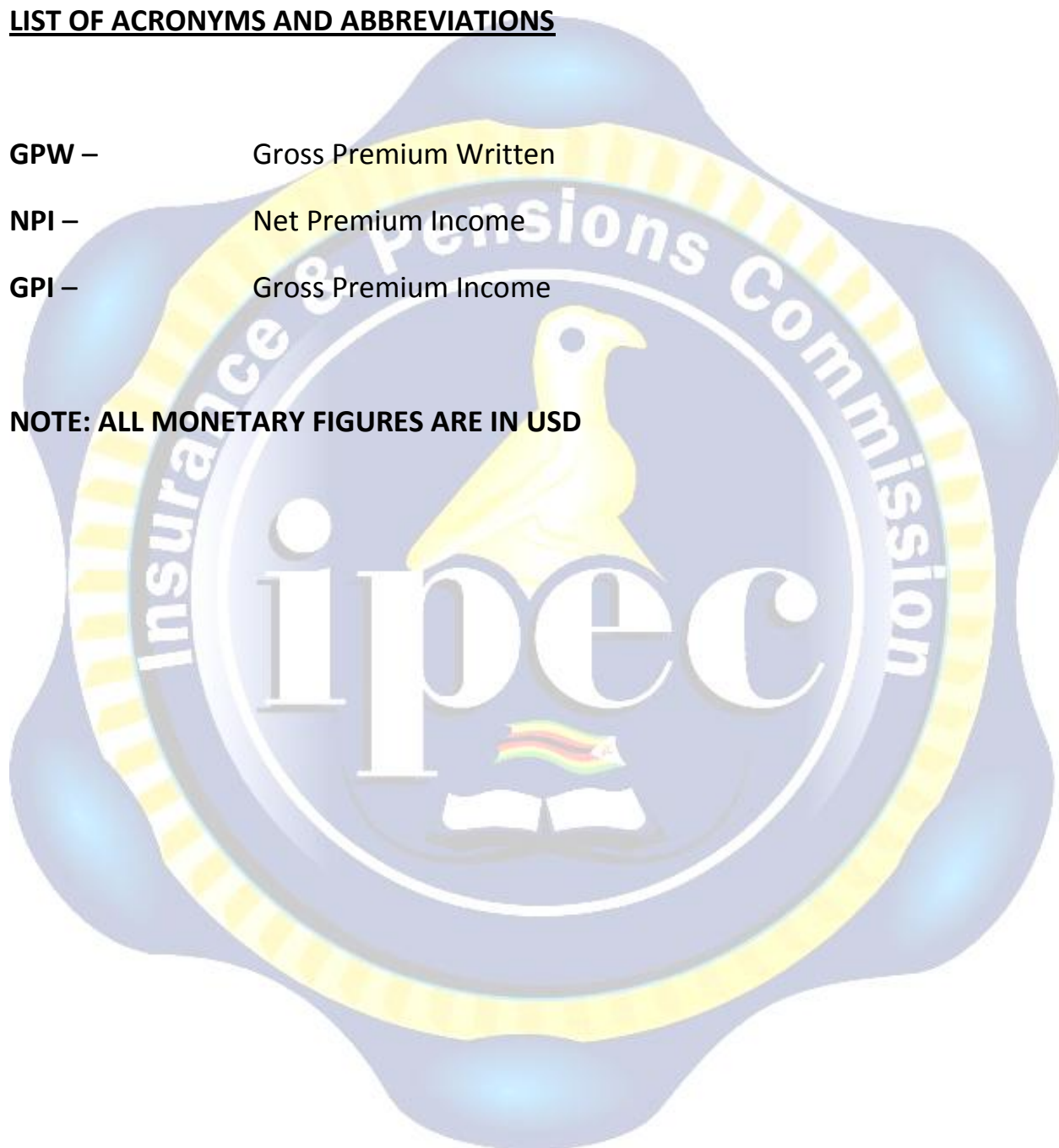
LIST OF ACRONYMS AND ABBREVIATIONS

GPW – Gross Premium Written

NPI – Net Premium Income

GPI – Gross Premium Income

NOTE: ALL MONETARY FIGURES ARE IN USD



1.0 Executive Summary

IPEC hereby publishes its second operational report for the funeral assurance industry post dollarization. The document is for public consumption and as such due care and attention to detail is important to ensure that the reported figures reflect an accurate perception about the industry to the regulator and clients. For this reason players are encouraged to consult our office if in doubt of how to complete our returns.

The report is based on statistics obtained from ten funeral assurers who were operational as at 30 September 2011.

Industry's revenue streams grew by 46% from the last reporting period showing a growing uptake of funeral products by the insuring public probably as a result of the general realization of the need to prepare for the inevitable time of passing on. Reported revenue figures rose to \$23million from \$16million reported for the half year ended 30 June 2011.

New business portfolio mix for the industry continued to be dominated by individual policies at 91 000 compared to 53 000 corporate policies. In Gross premium terms, the former realized new business amounting to \$9,4million whilst the later realized \$7million. This is largely a reflection of the dominance of the informal sector over the formal sector which is generally owned and run by sole traders.

All the players subject to this report retained all written premiums net to their respective balance sheet. We encourage members to employ prudent risk spreading mechanisms to guard against failure to meet claims obligations due to high claims that may arise as a result of outbreaks or other unforeseen catastrophes. This is worsened by the fact that some funeral companies lacked both actuarial reserves and or no retained earnings as further fall back mechanisms.

The asset mix by the industry shifted from the volatile stocks and shares to the more stable properties, cash and other near cash instruments.

For the last three quarters, the major cost drivers for the industry were reportedly management expenses at 66% of total expenses and claims payments of \$1,8million or 17% of total management expenses. The industry's aggregate combined ratio was 49%.

Funeral assurance companies reported 343 fully registered individual agents with only 1 corporate agent for the whole industry. The Commission continues to insist on use of **ONLY** registered agents, failure of which the law will take its course.

2.0 The Number of Funeral Assurance Companies

As at 30 September 2011, the number of players remained at 10 as the new entrant, Sunset Funeral Assurance is yet to submit monthly and quarterly returns to the Commission. The player fully regularized later in this quarter.

3.0 Revenue Generated by Company

The industry's total revenue stream grew from \$16,1million reported in the last quarter to \$23,5million for the period under review reflecting a 46% growth. This may be due to aggressive innovation and marketing by players.

Table 1 below, shows that gross premiums for the last quarter constituted 97% of the total revenue, a scenario that was maintained in the period under review. This implies that core business continued to be the critical life blood of the industry.

The top three players wrote \$17,3million or 74% of total industry revenue, losing 5 percentage points from the position reported in the previous quarter. The Commission encourages competition to be centred mainly on quality of service and innovation as opposed to rate undercutting.

Table 1: Industry Revenue for the periods ended 30 June and 30 September 2011

	Jun 11 (USD)	Sept 11 (USD)	Growth (USD)	Growth (%)	Other Revenue Jun 11(USD)	Other Revenue Sept 11(USD)	Growth (%)	TOTAL REVENUE June 11(USD)	Cumulative Revenue Sept 11 (USD)	Growth (USD)	Growth (%)
Cell	921,146	1,003,654	82,508	9	-	-	-	921,146	1,003,654	82,508	9
Doves	828,968	2,490,520	1,661,552	200	30,883	-	(100)	859,851	2,490,520	1,630,669	190
Fidelity	679,902	1,152,154	472,252	69	240,221	463,680	93	920,123	1,615,834	695,711	76
First Funeral	1,372,765	2,108,650	735,885	54	8,700	-	(100)	1,381,465	2,108,650	727,185	32
Foundation	248,060	550,979	302,919	122	19,598	3,237	(83)	267,658	554,216	286,558	107
Moonlight	3,295,568	5,174,912	1,879,344	57	165,472	187,824	14	3,461,040	5,362,736	1,901,696	55
Nyaradzo	7,901,062	9,508,439	1,607,377	20	53,878	8,161	(85)	7,954,940	9,516,600	1,561,660	20
Passion	52,148	183,907	131,759	253	-	76,473	-	52,148	260,380	208,232	399
Ruvimbo	89,775	142,658	52,883	59	-	-	-	89,775	142,658	52,883	59
vineyard	214,633	419,166	204,533	95	13,544	18,251	35	228,177	437,417	209,240	92
Total	15,604,027	22,735,039	7,131,012	46	532,296	757,626	42	16,136,323	23,492,665	7,356,342	46

4.0 NEW BUSINESS MIX BY COMPANY

The funeral industry cumulatively wrote new business amounting to \$16,3million in gross premiums for the current reporting period. Of this amount 57% or \$9.4million was generated from individual policyholders. This is partly explained by the dominance of the informal sector whose ownership is generically sole traders. The Commission continues to exhort players to not only offer traditional policies which are mostly suitable for the elite but to also embrace the micro insurance concept.

In line with our advice in the last quarter, some players made inroads in portfolio balancing by harnessing some group business whose major advantage is lower administration costs and stronger resilience to challenging economic environments. Table 2 below illustrates the foregoing discussion.

Table 2: New Business Mix as at 30 June and 30 September 2011

	No. Of Policies						Sum Assured(USD)									Annual Premiums					
	Individual Life			Group Business			Individual Life			Group Business			Individual Life			Group Life					
	Jun 11	Sept 11	Growth (%)	Jun 11	Sept 11	Growth (%)	Jun 11	Sept 11	Growth (%)	June 11	Sept 11	Growth (%)	June 11	Sept 11	Growth (%)	June 11	Sept 11	Growth (%)			
Cell	5,815	7,315	26	19	19	-	10,398,850	12,398,850	19	1,113,341	812,501	(27)	389,568	254,871	(35)	790,697	812,501	3			
Doves	14,939	16,835	13	23,061	25,250	9	2,240,850.00	2,525,850	13	3,459,150	3,787,500	9	139,697	442,911	217	689,270	2,047,609	197			
Fidelity	6,672	5,000	(25)	8	4	(50)	1,414,464	1,060,000	(25)	384,000	25,000	(93)	800,640	600,000	(25)	41,856	19,968	52			
First Funeral Foundation	37,001	55,445	50	0	0	-	26,938,500	39,896,450	48	0	0	-	4,937,868	7,453,668	51	0	0	-			
	637	649	2	0	0	-	159,250	162,250	2	0	0	-	77,289	100,838	30	0	0	-			
Moonlight	1,536	744	(52)	9,354	17,213	84	1,237,715	755,156	(39)	10,176,167	18,382,303	81	229,291	118,347	48	1,203,401	1,977,481	64			
Nyaradzo	27,179	190	(99)	185	6649	3494	33,400,314	370,500	(99)	7,923,269	7,313,900	(8)	1,341,590	31,752	(98)	3,476,898	1,762,092	49			
Passion	1,242	2,261	82	0	0	-	148,993	271,320	82	0	0	-	104,295	63,308	39	0	0	-			
Ruvimbo	116	133	15	335	109	(67)	132,726	140,000	5	319,155	107,040	(66)	17,002	17,130	1	42,477	20,388	52			
vineyard	2,107	2,157	2	2,665	3,923	47	635,530	670,580	6	550,000	784,600	43	291,444	310,608	7	226,296	333,120	47			
Total	97,244	90,729	(7)	35,627	53,167	49%	76,707,192	58,250,956	24	23,925,082	31,212,844	30	8,328,684	9,393,433	13	6,244,599	6,973,159	12			

5.0 REINSURANCE AND RETENTION LEVELS

For the period under review, retention ratios by the respective market players revealed that industry has retained all written business net to their respective balance sheets. The Commission requires players to retain risks relative to their balance sheet sizes and to spread any excess risks to reinsurers. This is critically important in order to minimize chances of failure to meet policy obligations as and when they fall due. (See Table 3 Below)

Table 3: REINSURANCE AND RETENTION LEVELS

	GPW - Jun 11	NPI –Sept 11	Retention Ratio(%)	GPW –Sept 11	NPI – Sept	Retention Ratio(%)
Cell	921,146	921,146	100	1,003,654	1,003,654	100
Doves	828,968	828,968	100	2,490,520	2,490,520	100
Fidelity	679,902	679,902	100	1,152,154	1,152,154	100
First Funeral	1,372,765	1,372,765	100	2,108,650	2,108,650	100
Foundation	248,060	248,060	100	550,979	550,979	100
Moonlight	3,295,568	3,295,568	100	5,174,912	5,174,912	100
Nyaradzo	7,901,062	7,901,062	100	9,508,439	9,508,439	100
Passion	52,148	52,148	100	183,907	183,907	100
Ruvimbo	89,775	89,775	100	142,658	142,658	100
vineyard	214,633	214,633	100	419,166	419,166	100
Total	15,604,027	15,604,027	100	22,735,039	22,735,039	100

6.0 ISSUED CAPITAL, ACTUARIAL RESERVES AND LIABILITIES OF FUNERAL ASSURANCE COMPANIES

Despite the reportedly unchanged liability figures for the industry, there was a marked depletion of retained earnings and actuarial reserves from the positions reported in the last reporting period. Retained earnings fell by 21% from \$2,456million to \$1,95million (See Table 4 below). On the other hand, actuarial reserves dropped from \$24,19million to \$5, 14million, a 79% fall to such an extent that some players completely depleted their actuarial reserves which may indicate artificially sound financial positions, contrary to best insurance underwriting practices. The Commission is in the process of putting in place mechanisms for players to adhere to actuarial reserving requirements as this is a prudential issue which players should comply with.

Table 4: Issued Capital, Actuarial Reserves, Earnings and Liabilities by Company

	Paid up Capital	Retained Earnings(USD)			Actuarial Reserves (USD)			LIABILITIES (USD)		
		Jun 11	Sept 11	Growth (%)	Jun 11	Sept 11	Growth (%)	June 11	Sept 11	Growth(%)
Cell	750,000	163,769	99,827	(39)	142,257	150,548	6	186,933	84,096	55
Doves	1,000,000	0	0	-	2,174,684	2,174,684	-	975,291	1,025,231	(5)
Fidelity	350,000	158,257	254,038	61	406,052	326,052	20	57,434.00	57,434	0
First Funeral	411,440	(38517)	(133874)	(248)	603,886	674,853	12	480,463	487,202	(1)
Foundation	0	1,396	5,729	310	0	0	-	180,401	187,476	(4)

Moonlight	1,500,070	1,059,358	1,130,203	7	1,450,551	1,450,551	-	1,487,246	1,487,246	0
Nyaradzo	350,000	584,271	519,137	11	305,838	0	-	4,908,531	8,550,950	(74)
Passion	600	457,926	0	(100)	0	0	-	557,613	568,155	(2)
Ruvimbo	59,998	4,500	4,500	-	358,313	358,313	-	0.00	0.00	0
Vineyard	313,978	68,220	74,990	10	0	0	-	13,914.00	171,875	(1135)
Total	4,736,086	2,459,180	1,954,550	(21)	24,190,986	5,135,001	(79)	11,676,850	12,619,665	(8)

7.0 TOTAL ASSET DISTRIBUTION FOR FUNERAL ASSURANCE COMPANIES

The top three players retained 75% share of the industry assets, the same position as that reported in our half year report. (See Figure 1 below)

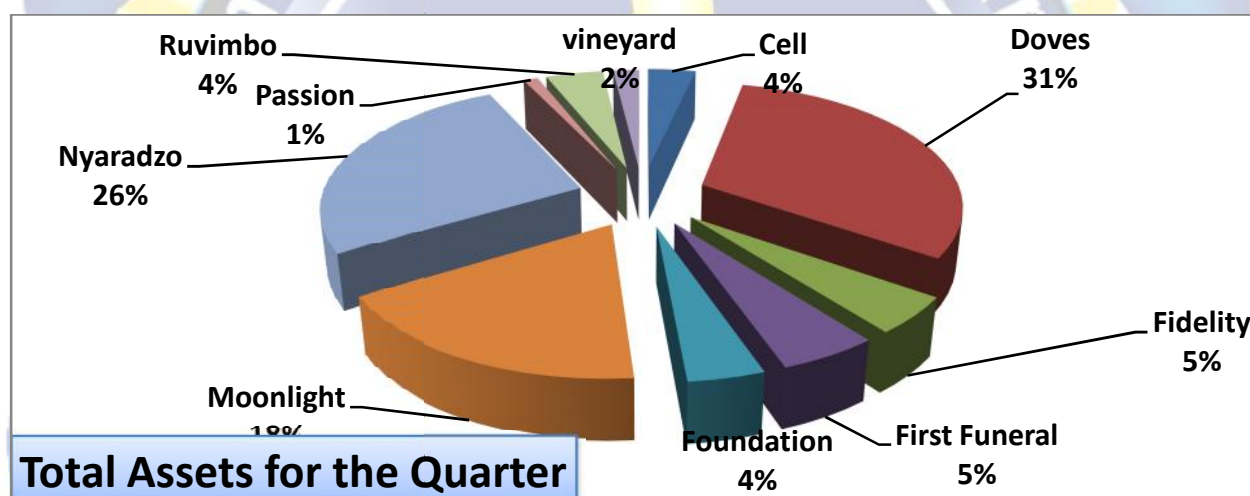


Figure 1: Total Assets by Company

8.0 TOTAL ASSETS COMPOSITION BY CLASS

The values of total assets of the industry as at 30 September 2011 were \$31, 6million, a 5% upturn from \$30 million reported as at 30 June 2011. (See Table 5 below)

Stock holdings by the industry fell by 87% from \$746 000 as at 30June 2011 to \$99 216 as at 30 September 2011(See Table 5 below). This was mainly due to falling returns forcing funeral assurers to cut back or offload their shares before any further anticipated investment losses.

Land and buildings' values rose by 5% to close at \$7,25million as at 30 September 2011. This conservative rise may be attributable to the high sums of money needed to invest in this highly stable asset instrument.

Falling stock values led funeral assurers to adopt a cautious approach by raising their cash and other near-cash asset holdings by 56% and 25% respectively. This approach enhances the critically vital liquidity which reduces chances of default in claims payments assuming commensurate premium rates were charged.

Table 5: Total Assets by Class as at 30 June and 30 September 2011

Funeral Co.	Stock and Shares(USD)			Land & Buildings (USD)			Cash (USD)			Other Assets incl. Prescribed Assets, Premiums, Loans(USD)			Other Investments(USD)			Total Assets(USD)		
	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%
Cell	0	15,735	-	0	0	-	0	15,341	-	438,833	325,444	26	804,126	727,951	(9)	1,242,959	1,084,471	13
Doves	62,116	62,119	-	1,227,068	1,267,650	3	340,149	97,569	71	1,615,019	2,035,058	26	6,351,120	6,317,000	1	9,595,472	9,779,396	2
Fidelity	436,082	735,662	69	84,218	30,246	(64)	112,562	85,988	24	227,671	298,363	31	173,956	280,329	61	1,034,489	1,430,588	38
First Funeral	10,690	10,690	-	643,778	682,680	6	94,041	78,577	16	855,296	552,176	35	196,549	457,652	133	1,800,354	1,781,775	1
Foundation	0	0	-	1,002,000	1,002,000	-	30,944	22,175	28	126,938	141,359	11	87,356	80,856	7	1,247,238	1,246,390	-
Moonlight	0	0	-	2,761,342	2,761,342	-	0	1,229,411	-	2,586,431	2,726,219	5	20,000	80,510	303	5,367,773	6,797,479	27
Nyaradzo	234,207	164,998	30	745,833	966,986	30	776,939	538,985	30	3,728,862	6,113,246	64	209,925	278,144	32	5,695,766	8,062,359	42
Passion	0	0	-	0	0	-	0	0	-	277,968	332,911	20	0	0	-	277,968	332,911	20
Ruvimbo	0	0	-	200,000	300,000	50	(5,611)	2,270	60	662,540	657,540	1	350,000	350,000	-	1,206,929	1,309,810	9
vineyard	2,781	2,953	6	238,914	238,914	-	6,239	48,397	676	240,188	304,586	27	0	0	-	488,122	594,850	22
Total	745,876	99,216	(87)	6,903,153	7,249,818	5	1,355,263	2,118,713	56	10,759,746	13,486,902	25	8,193,032	8,572,442	5	30,098,409	31,594,162	5

9.0 KEY PERFORMANCE INDICATORS

Total cost figures fell from \$13,5million cumulatively realized as at 30 June to \$11,1 million reported as at 30 September 2011. The industry reported a cumulative combined ratio of 49%, an improvement from 86% realized in the last report for the period ended 30 June 2011. This implies that for every dollar in premium, 49 cents was used to cover expenses. Industry players are encouraged to minimize expenses as far as possible in order to sustain viability.

Table 6 below, illustrates that the single largest cost driver for players was management expenses. For the period under review, administration expenses contributed 66% of industry's

total costs. Funeral assurers managed to cut back on management expenses by a commendable 22% from \$9,3million as at 30 June 2011 to close at \$7,3million.

Claim costs fell by 34% from \$2,8million in the last reporting period to \$1,9million. This could be attributed to industry charging commensurate premiums and subdued mortality as a result of improvements in uptake of life-prolonging drugs among other factors.

Commissions paid rose by 47%, a similar margin to the growth in gross premiums written implying rising uptake of funeral assurance by the insuring public.

Some players submitted questionable returns for instance nil management expenses for an operational institution. The Commission urges members to consult with IPEC when compiling their returns if they are not sure of how to complete the returns template otherwise they will be penalized in terms of the law, going forward.

Table 6: Key Performance Indicators by Company

	Gross Premium Written(USD)		Claims(USD)			Commission(USD)			Management Expenses (USD)			Total Costs(USD)			Combined Ratio(%)		
	Jun 11	Sept 11	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	%	Jun 11	Sept 11	Growth
Cell	921,146	1,003,654	28,549	37,370	(31)	-	-	-	-	-	-	-	37,370	-	-	4	-
Doves	828,968	2,490,520	206,240	605,211	(193)	54,605	169,679	(211)	420,003	985,291	(135)	680,848	1,760,182	(159)	82	71	11
Fidelity	679,902	1,152,154	28,102	58,789	(109)	97,317	193,737	(99)	394,857	21,482	95	520,276	231,044	44	77	20	57
First Funeral	1,372,765	2,108,650	227,656	380,190	(67)	165,459	267,157	(61)	714,810	1,079,762	(51)	1,107,925	1,727,109	(56)	81	82	(1)
Foundation	248,060	550,979	7,443	7,642	(3)	13,080	15,029	(15)	105,414	110,823	(5)	125,937	133,494	(6)	51	24	27
Moonlight	3,295,568	5,174,912	171,093	239,464	(40)	230,250	214,647	7	133,630	1,399,242	(947)	534,973	1,853,353	(246)	16	36	(20)
Nyaradzo	7,901,062	9,508,439	2,132,241	461,845	78	779,645	1,091,267	(40)	7,421,873	3,295,096	66	10,333,759	4,848,208	47	131	51	80
Passion	52,148	183,907	1,500	7,116	(374)	0	0	-	75,982	229,807	202	77,482	236,923	(206)	149	129	20
Ruvimbo	89,775	142,658	10,666	14,474	(36)	2,640	7,573	187	1,000	1,982	(98)	14,306	24,030	(68)	16	17	(1)
vineyard	214,633	419,166	15,431	49,292	(219)	13,489	41,386	207	55,943	181,669	(225)	84,863	272,347	(221)	40	65	(25)
Total	15,604,027	22,735,039	2,828,921	1,861,393	34	1,356,485	2,000,475	(47)	9,323,512	7,305,154	22	13,480,369	11,124,060	17	86	49	37

10.0 AGENTS PER FUNERAL ASSURER

For the period under review, funeral assurers reported their agents count numbering 409 as illustrated in Table 7 below.

Individual agents numbered 343 or 84% of all registered agents whilst only one player reported a single corporate agent.

The Commission encourages the industry to continuously ensure that their agents are registered failure of which penalties will be applied in terms of the law. It has to be emphasized that use of unregistered agents is a major contributor to business malpractices such as rate undercutting and non-remittance of collected premiums to assurers which puts the name of the whole industry into disrepute.

Table 7: Agents Per Funeral Assurer

	Fully Registered Agents		Provisionally Registered Agents		Unregistered Agents		TOTALS
	Individual	Corporate	Individual	Corporate	Individual	Corporate	
Cell Funeral	-	-	-	-	-	-	-
Doves Funeral	31	-	19 exp 19/12/11	-	-	-	31
First Funeral	30	-	-	-	-	-	30
Foundation	28	-	-	-	-	-	28
Fidelity Funeral	2	-	-	-	-	-	2
Moonlight	201	-	19	-	-	-	220
Nyaradzo Funeral	26	-	46	-	-	-	72
Passion Funeral	-	-	-	-	-	-	-
Ruvimbo Funeral	15	-	-	-	-	-	15
Vineyard Funeral	10	1	-	-	-	-	11
TOTALS	343	1	65	-	-	-	409

Conclusion

IPEC encourages players to adhere to best practices in order to maintain or improve the current momentum towards a recovering industry comparable to major regional players. This is achieved via several avenues such as maintaining adequate actuarial reserves, perfection of service competition rather than price competition, among other measures as prescribed in our reports and discussed during our association meetings.